

A Proposal for Asset-Centric Labor Management

1 The Conceptual Shift

The traditional employment model treats labor as an operating expense (OpEx)—a disposable cost to be minimized. This paper proposes a transition to an Asset-Centric Labor Management model, where employees are treated as productive capital assets. In this framework, firms invest in the 'maintenance' and 'fuel' (environment, training, tools) of the asset to reach a target yield, rather than viewing the employee as a variable cost.

2 Valuation Framework

By applying a capitalization rate to an individual's productive capacity, a firm can derive a valuation for a role. If a role generates annual net revenue of R , with a required yield of y , the asset value (V) is determined by:

$$V = \frac{R}{y} \tag{1}$$

This approach moves the burden of performance from the individual to the firm, which acts as the operator of the asset.

3 The Responsibility of Management

Management as Maintenance: If the asset underperforms, the blame is assigned to the management entity for poor operational support rather than the individual asset for lack of capability.

4 The Lifecycle of the Asset

To ensure efficiency, this model utilizes a triennial audit cycle. Every three years, the firm and the individual evaluate the asset's performance against initial projections. If the partnership is no longer viable, the contract is dissolved with pre-planned severance and support, treating the exit as a business transition rather than a termination.

5 Conclusion

Shifting to an asset-centric model eliminates the inefficiencies of traditional human resource management. It aligns incentives between the firm and the contributor, enforces operational accountability, and creates a high-performance environment built on mutual investment rather than contractual alienation.